

## After how many days does the company receive its payments?

- Therefore, whenever a sale happens, the company provides an average credit of 100 days.
- The company can turn its receivables over 3.6 times where it takes 100 days per rotation.
- It means that for 100 days our sales remain outstanding before we receive our money from debtors.

## .4 Days Inventory

How many days of inventory do we need at any given point in time to conduct our business?

## .5 Payable Period

How many days do we take to make payments to our creditors?



**Cash conversion cycle= DSO+ Days Inventory- Payable Period.**

If we have a payable period of 0 days to make payment to our creditors.

- It means, suppliers did not extend us any credit.
- Capital requirement would increase significantly and the company would have to commit its capital to fund the accounts receivables and inventory rather than getting credit from customers.

Thus Efficiency ratios discuss how well the company runs its operations.